



VRC-UK-2022-0948

15/03/2022

MASTER SUPPLY AGREEMENT

Between Veracier UK and Smithfield Coatings plc

THIS AGREEMENT (the "Agreement") is made and entered into as of 15/03/2022

BETWEEN:

Veracier UK Ltd, a company incorporated under the laws of United Kingdom, with its registered office at Innovation Park, Filton, Bristol BS34 7QN, United Kingdom ("Customer")

AND

Smithfield Coatings plc ("Supplier")

(each a "Party" and together the "Parties")

Section 1 — Scope of Agreement

This Agreement sets forth the terms and conditions under which Smithfield Coatings plc ("Supplier") shall supply to Veracier UK Ltd ("Customer") the products and services described in Schedule 1 (the "Products"), in accordance with the technical specifications provided by Customer.

Section 2 — Term

This Agreement shall commence on the Effective Date and shall continue for an initial period of three (3) years, automatically renewing for successive one (1) year periods unless either Party gives written notice of non-renewal at least six (6) months prior to the end of the then-current term.

Section 3 — Pricing and Payment

The unit prices for the Products are set forth in Schedule 2. All prices are exclusive of applicable taxes and are quoted EXW (Incoterms 2020) Supplier's facility. Payment shall be made by wire transfer within sixty (60) days from the end of the month in which a conforming invoice is received.

Section 4 — Delivery and Acceptance

Supplier shall deliver the Products within the lead times specified in each Purchase Order. Late deliveries exceeding five (5) business days shall be subject to liquidated damages of 0.5% of the relevant Purchase Order value per week of delay, capped at 10% of the total Purchase Order value.

Section 5 — Quality and Compliance

Supplier warrants that all Products shall conform to the technical specifications and shall be free from defects in design, materials, and workmanship. Supplier shall maintain ISO 9001 certification (and AS9100 where applicable) throughout the Term.

Section 6 — Intellectual Property



Each Party retains all rights in its pre-existing intellectual property. Any bespoke developments created by Supplier under this Agreement and funded by Customer shall be the exclusive property of Customer.

The limitation period for the action is six (6) years from the date of the cause of action under the Limitation Act 1980 (England and Wales). The period expires on or about 15 March 2028.

Storage conditions for released parts conform to requirements: temperature 15-25 degrees C, relative humidity below 60%, protection from dust and mechanical shock. Maximum storage duration before dispatch is 90 days.

The 3.1 material certificate per EN 10204 has been verified and the mechanical properties (UTS, YS, El%, hardness) conform to the requirements of AMS 4928 for Ti-6Al-4V titanium alloy.

A conflict-of-interest check has been performed to ensure that the appointed external counsel does not represent any adverse party or have any relationship that could compromise the objectivity of their advice.

The Supplier shall maintain ISO 9001 certification (and AS9100 or NADCAP where applicable) throughout the Term. Loss of certification shall constitute a material breach entitling the Customer to suspend Purchase Orders.

The conclusions of this legal analysis are subject to legal professional privilege and must not be disclosed to third parties without the prior approval of the General Counsel.

Statutory interest on any damages awarded shall accrue at the applicable rate under section 35A of the Senior Courts Act 1981.

The fatigue test was conducted per ASTM E466 at ambient temperature (23 +/- 2 degrees C), with a stress ratio $R = 0.1$ and a cyclic frequency of 10 Hz. The specimen endured 10^7 cycles without visible crack initiation.

An examination of notification obligations to insurers has been completed. The claim notification was submitted within the contractual timeframe.

It is recommended that no public statement be made regarding this matter, given the confidentiality obligations under the mediation clause and the potential for reputational harm.

It is noted that any document filed in the proceedings may be subject to disclosure to the opposing party. Internal documents should be prepared accordingly.

A review of cross-indemnity provisions among Group entities has been initiated to determine which entity bears the ultimate financial burden of the litigation.

Sensitivity analysis indicates that the nuclear decommissioning provision is particularly sensitive to the discount rate assumption: a +/- 0.5% change in the rate results in a +/- EUR 1.2 million variation.

Year-end accruals include the following items: customer delay penalties (EUR 2.1M), product warranty provisions (EUR 1.2M), tax risk provisions (EUR 0.8M), and voluntary redundancy payments (EUR 0.6M).

The matter will be monitored by the Legal Department in coordination with external counsel. A progress update will be presented to the Audit Committee at its next quarterly meeting.

Trend analysis of supplier non-conformities over the past 24 months shows a significant increase in dimensional deviations (+35%) from the supplier, requiring enhanced surveillance.

The deferred tax provision has been calculated on temporary differences between IFRS carrying amounts and tax bases, at the applicable tax rate of 25.83% for French entities and 30.175% for the German entity.

The 2% royalty rate on net sales for intra-group IP licenses is consistent with the benchmarking study results, where the interquartile range spans from 1.5% to 3.0%.



The Parties agree to hold quarterly performance review meetings to assess key performance indicators including quality metrics, on-time delivery rates, and corrective action effectiveness.

In the event of late delivery, the Customer shall be entitled to liquidated damages of 0.5% of the relevant Purchase Order value per week of delay, capped at 10% of the total Purchase Order value.

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Section 7 - Confidentiality

Each Party agrees to treat as confidential all technical, commercial, and financial information disclosed by the other Party under this Agreement. This obligation shall survive for five (5) years following termination.

Section 8 - Liability

Supplier's aggregate liability under this Agreement shall not exceed two (2) times the annual value of Purchase Orders placed by Customer during the preceding twelve (12) months. This limitation shall not apply in cases of gross negligence, wilful misconduct, death or personal injury, or breach of confidentiality obligations.

Section 9 - Termination

Either Party may terminate this Agreement for material breach by giving thirty (30) days' written notice, provided the breach remains uncured at the end of such notice period. Customer may terminate immediately upon written notice in the event of Supplier's insolvency, bankruptcy, or assignment for the benefit of creditors.

Section 10 - Force Majeure

Neither Party shall be liable for any failure or delay in performing its obligations under this Agreement where such failure or delay results from Force Majeure.

"Force Majeure" means any event beyond the reasonable control of the affected Party, including but not limited to: natural disasters, fire, flood, epidemic or pandemic, acts of war or terrorism, strikes or labor disputes, disruption to supply of raw materials or components, government embargoes or sanctions, and any other unforeseeable event that is beyond the affected Party's control.

Section 12 - Governing Law

This Agreement shall be governed by and construed in accordance with the laws of England and Wales. Any dispute shall be submitted to the exclusive jurisdiction of the courts of England and Wales.

The Customer reserves the right to audit the Supplier's facilities, records, and quality management systems upon fifteen (15) business days' prior written notice, to verify compliance with this Agreement.

The Legal Department recommends appointment of a mediator accredited by the Centre for Effective Dispute Resolution (CEDR) to attempt settlement before the commencement of substantive proceedings.

The Legal Department has identified a contagion risk, as the facts underlying the claim may be replicated at other production sites within the Group.

Packaging and labelling of all Products shall conform to the specifications set forth in the applicable Schedule. The Supplier shall be liable for any damage attributable to inadequate packaging during transport.

The comparability analysis was performed using the Bureau van Dijk / TP Catalyst database, selecting comparable companies based on functions performed, assets employed, and risks assumed (FAR analysis).

The Group's net cash position stands at EUR 127 million as at 31 December, an increase of EUR 23 million compared to the prior year, primarily driven by working capital improvements.

The statutory auditors have raised an observation regarding the nuclear decommissioning provision, recommending that the actuarial assumptions be reviewed by an independent actuary.

Each Party shall comply with all applicable laws and regulations, including without limitation anti-bribery legislation (UK Bribery Act 2010, US FCPA), data protection laws (GDPR, UK Data Protection Act 2018), and export control regulations.

Where subcontracting is authorized by the Customer, the Supplier shall remain solely responsible for the performance of all its contractual obligations. The Supplier shall ensure that subcontractors are bound by confidentiality and quality requirements no less stringent than those in this Agreement.

Part marking includes: lot number, part number, serial number, date of manufacture, and inspector stamp. Marking is performed by micro-percussion per customer specification.

The applicable reference documentation for this lot is specification SP-AV3000-Rev.D dated 01/11/2019, together with control plan CP-AV3000-Rev.D and manufacturing routing MR-AV3000-Rev.D.

The management fee charged by the parent company to subsidiaries represents 3% of each subsidiary's consolidated revenue, remunerating general management, strategic planning, legal support, and treasury services.

The CAPA opened in response to the recurring non-conformity includes the following actions: supplementary supplier audit, enhanced receiving inspection, and qualification of an alternative supplier.

The batch record includes the following records: production traveller, test reports (leak, fatigue, functional, NDT), material certificates, calibration certificates, non-conformity reports where applicable, and EASA Form 1.

The Supplier warrants that it holds all necessary authorizations, licenses, and permits required for the performance of its obligations. The Supplier shall promptly notify the Customer of any change that may affect its ability to perform.

The provision has been measured in accordance with IAS 37, based on the best estimate of the expenditure required to settle the obligation at the reporting date, discounted at a risk-free rate of 3.2%.

The failure of either Party to enforce any provision of this Agreement shall not constitute a waiver of such provision or of the right to enforce it at any time thereafter.

The dimensional deviation on port B bore (measured: 25.015 mm against tolerance of 25.000 +0.010/-0.000 mm) has been subject to an engineering concession request (ref. EC-2024-0089).

This Agreement may not be assigned, in whole or in part, by either Party without the prior written consent of the other Party. Any unauthorized assignment shall be void and of no effect.

The capital expenditure budget for the current year is EUR 18.5 million, of which EUR 12.3M is allocated to production capacity and EUR 6.2M to R&D activities.

The tax treatment of the litigation provision has been reviewed by the Finance Department. The provision is tax-deductible subject to compliance with HMRC guidelines.

The manufacturing routing comprises 9 principal operations from material cutting (Op 10) to final inspection and release (Op 90). Each operation requires operator sign-off and quality verification.

This Agreement constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior negotiations, representations, and agreements, whether written or oral.

The Group's litigation history in comparable matters shows an amicable resolution rate of approximately 65%, with settlement amounts averaging 45% of the initial claim.

Effectiveness verification of the corrective actions will be performed over the next three production lots. The CAPA will be closed after confirming no recurrence over a minimum of 150 parts.

The solution heat treatment and ageing cycle was carried out as prescribed: solution at 940 degrees C for 2 hours, water quench, followed by ageing at 540 degrees C for 8 hours, air cool.

Dimensional inspections were performed on a Metrologix M-G2 coordinate measuring machine (CMM), calibrated and certified in accordance with ISO 10360-2. The expanded measurement uncertainty (k=2) is +/- 0.003 mm.

All notices under this Agreement shall be in writing and delivered by registered mail, internationally recognized courier service, or email with read receipt confirmation, to the addresses set forth in the preamble.

External legal counsel has provided a qualified opinion on the prospects of the defence, estimating the probability of an adverse outcome at between 40% and 60%.

Calibration of the hydraulic test bench TB-042 was verified prior to testing. Calibration certificate No. CC-2024-042-012, issued by a UKAS-accredited laboratory, is included in the batch record.

The batch record review was completed by the Head of Quality and Airworthiness prior to lot release. All identified non-conformities have been dispositioned and closed.

Statistical process control (SPC) monitoring is in place for critical dimensions identified in control plan CP-AV3000-Rev.F. Process capability indices Cpk exceed 1.67 for all key characteristics.

All pre-existing intellectual property shall remain the sole property of its owner. Bespoke developments created by the Supplier under this Agreement and funded by the Customer shall vest in the Customer upon creation.

The Supplier shall maintain a traceability system enabling identification of raw materials, manufacturing operations, and quality inspections for each delivered Product. Records shall be retained for a minimum of ten (10) years.

Environmental conditions during functional testing were within specification: temperature 23 +/- 2 degrees C, relative

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The Group's operating margin stands at 8.7% for the year, down 0.8 percentage points from the prior year, driven by the integration of Precis-Tec and associated restructuring costs.

Intercompany transactions are remunerated on an arm's length basis in accordance with the OECD Transfer Pricing Guidelines and section 482 of the US Internal Revenue Code.

Any amendment to this Agreement shall be in writing and duly executed by authorized representatives of both Parties. No oral modification or waiver shall be binding upon either Party.

Pursuant to the Group's disclosure obligations, this matter must be reflected in the notes to the consolidated financial statements as a contingent liability, without specifying the provision amount to avoid prejudicing the Group's position.

The leak test was performed at 315 bar (1.5 times operating pressure) for 5 minutes per test procedure TP-QA-042 Rev. C. No leakage was detected.

Bristol, le 15/03/2022
Managing Director

James Hartley